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Bowling for \$418? Surge Pricing Creeps Into Restaurants, Movies, Gym Class

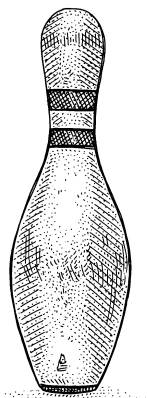
Activities in the rest of your life now feature dynamic prices, which change along with demand

By [Harriet Torrey](#) [Follow](#)

March 12, 2023 8:43 am ET

Alex Yenni recently endeavored to take his wife and 5-year-old son [bowling](#) with another family in Petaluma, Calif., close to their home. The plan quickly went into the gutter.

Mr. Yenni, a 42-year-old advertising executive, tried to book online in advance at AMF Boulevard Lanes, where he wanted to reserve two lanes for two hours at 3 p.m. on the last Thursday of the year during winter break.



Bowled over

The price quoted by the website, run by national operator Bowlero Corp., knocked him over: \$418.90. “This strikes me as outrageous for a pedestrian family activity,” he said.

Mr. Yenni emailed Bowlero, and received a response saying due to the convenience of advance booking, “the pricing for a reservation is different than our walk-in rates or any current advertised specials.”

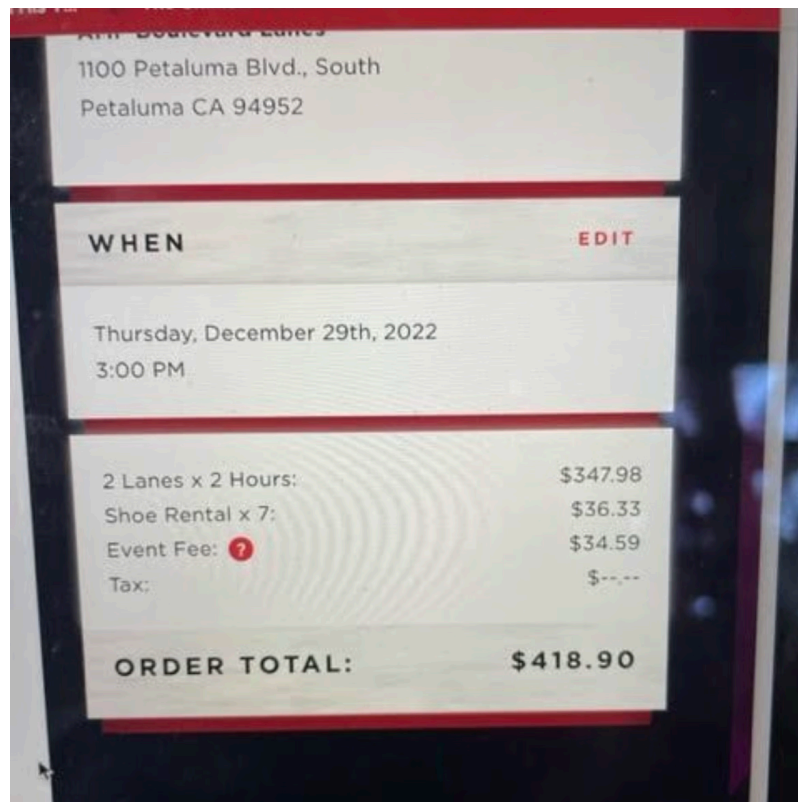
Mr. Yenni’s quoted price was more than double the price the chain’s website calculated for 3 p.m. on a Thursday afternoon in February, \$208.77.

The company’s CFO said pricing based on day and time helps match pricing to demand, “simultaneously maximizing guest happiness through reasonable wait times and maximizing profitability by scaling price when the willingness to pay is there.”

Many consumers have experienced surge pricing when booking a hot ticket, [such as Taylor Swift’s latest concert tour](#), or a flight during a snowstorm travel disruption.

The practice, also called [dynamic pricing, has also crept into the more ordinary realm](#), such as the gym or municipal golf course. Some restaurants are experimenting with [real-time pricing](#) based on demand. That can be a boost for businesses—and irritating for consumers.

“The bowling alley felt to me like the last egalitarian, fun, middle-America thing,” said Mr. Yenni. For dynamic pricing “to reach its tentacles into that realm felt pretty appalling.”



Alex Yenni was quoted \$418.90 for a bowling excursion with his family and friends during a holiday week. PHOTO: ALEX YENNI

Movie theaters have also introduced [variable pricing for anticipated blockbusters, such as “The Batman,”](#) and in a similar twist, [AMC Entertainment Holdings Inc., the nation’s largest movie chain, said it is rolling out a new plan that adjusts prices](#) during peak shows based on where viewers sit. Prime seats mid-theater will come at a premium, while the neck-craning front-row will cost less.

AMC Chief Executive Adam Aron said in a tweet that the different prices were similar to the way tickets for sporting events and concerts were sold, and that the system would be a way to hold down prices for the nonpremium seats. (Rock band The Cure, meanwhile, announced Thursday it wouldn’t use dynamic pricing on its coming North American tour.)

The reviews for AMC's move weren't good. "The movie theater is and always has been a sacred democratic space for all," said Elijah Wood, star of the "Lord of the Rings" franchise, in a tweet criticizing AMC's plan.

Some AMC cinemas in Europe already use the practice. Film fan Adam James Pollock, a food writer and cooking instructor based in Belfast, Northern Ireland, called premium movie seating "a bit ridiculous."

He and his partner pay about \$18 each for monthly subscriptions to see unlimited movies at their local Odeon cinema, a U.K.-based subsidiary of AMC. But if they want to see a busy screening of a popular movie, such as "Avatar: The Way of Water," they have to pony up another few bucks for a "premier" seat, which he described as "the exact same seats, one row in front."

Using algorithms and data, dynamic-pricing software allows businesses to [continuously adjust prices](#) in response to demand, competition, the weather, the time of day—and even the type of device or location shoppers are browsing from. Defenders say it helps businesses fill excess capacity, reallocate demand and maximize revenue by charging more to the people willing to pay. It also has some benefits for consumers, such as cheaper tickets during times of low demand.

Yet some customers resent paying more for experiences they perceive as neither particularly time-sensitive, nor in short supply.

Melissa Harans Levenson, a 30-year-old graphic designer in Philadelphia, joined the exercise-class subscription service ClassPass aiming to structure a consistent workout schedule. Figuring out the dynamic pricing proved a harder lift than the dumbbells.

An organized budgeter, she said she disliked how the prices "kept changing all the time."

She quit the platform. "Working out is hard enough, you don't need to do a math problem to figure out if you can afford it," she said.

ClassPass said it has made changes to its platform and dynamic pricing since then, and said "the idea of dynamic pricing is simple: classes in high demand can be sold at a premium while a class with many open spots might need a temporary price drop to drive up attendance."



Melissa Harans Levenson said she didn't like that prices for her exercise classes 'kept changing all the time.' PHOTO: CHLOE GIBSON

Golf courses also are teeing up the practice. "Dynamic pricing puts YOU in total control," says the website for the Saddleback Golf Club in Firestone, Colo., while noting the dynamic pricing rates "are constantly updating based on factors such as: the day of the week, the time of the day, Colorado weather, and most importantly golfer demand (or lack thereof) for specific tee times."

It can be enough to make some golfers want to pitch their clubs. Reed Kremer, a 36-year-old corporate recruiter and passionate golfer, understands paying a

premium at a high-end course, but is less forgiving when it's a city course most people would think should be a bargain. He has seen courses offer tee times for \$49 on a weekday afternoon in winter and drive them up to \$75 in summer.



Golfer Reed Kremer said it was a turnoff that prices for tee times were sometimes higher than expected. PHOTO: REED KREMER

In the past, he has set a late-night alarm on Fridays to reserve spots for the next week's Saturday morning, when bookings opened at the stroke of midnight seven days in advance. Sometimes "the price was higher than expected, and it's a huge turnoff," he said. "I worked hard to get that tee time and now it's \$90 instead of \$65 or whatever."

Robert Shumsky, professor of operations management at Dartmouth College's Tuck School of

Business, said consumer frustration limits how far companies can push dynamic pricing. "It can be very opaque, and that can really give people a sense of unfairness," he said.

Cruise fan Patrick Jandorf, a software consultant in Orange County, Calif., has taken five in the past year or so. But even he was thrown when he went to book excursions for his family's recent seven-day cruise to the Bahamas with the [Royal Caribbean Group](#). He was eyeing an offered outing to a water park on the cruise company's private island.

But instead of the \$62 to \$70 per entrance ticket he was expecting from researching online reviews and message boards, "when you go to book they raise the price to \$120." He said the message boards explained it depends on the cruise, and that different boats at different times charged different amounts.

"It's all a mystery, it's not clear at all to the consumer what causes the price to go up or down," he said.

He and his family didn't go to the water park when the ship docked for the day, they just wandered around the island and then went back to the ship. His verdict? "It turned me off."

Royal Caribbean didn't respond to a request for comment.

Debbie Roxarzade, founder and CEO of fast-casual restaurant chain Rachel's Kitchen in Las Vegas, introduced dynamic pricing for takeout orders from three of its eight locations on third-party apps during the pandemic.

Prices swing by the hour by roughly 10% to 15% depending on the time of day and demand, she said. A few guests have commented on the higher online prices, though she said pushback has been minimal.

"The key is for it not to be too extreme, if people see a sandwich that's \$5, then it's \$25, that's different than 10% to 15% increases," she said.

Rachel's Kitchen will potentially use dynamic pricing for those dining in also, according to Ms. Roxarzade, although she acknowledged the practice could be a tough sell for regulars, and would require extra training for staff who "would have to explain to guests why they spent \$15 yesterday and \$16 today."

Write to Harriet Torry at harriet.torry@wsj.com

Corrections & Amplifications

Bowlero Corp.'s chief financial officer said that pricing based on day and time helps match pricing to demand. An earlier version of this article incorrectly attributed the statement to the chief executive officer.